# Hamiltonian Market Maker (HMM): Physics-Inspired Automated Market Making for AI Compute

Zach Kelling

*Hanzo AI*

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# Abstract

We present the **Hamiltonian Market Maker (HMM)**, a physics-inspired automated market maker (AMM) that leverages the mathematical structure of Hamiltonian mechanics to price heterogeneous AI compute resources on decentralized exchanges. Traditional AMMs such as Uniswap's constant product formula operate effectively for fungible token pairs but fail when applied to multi-dimensional resource bundles with quality constraints, SLA requirements, and rapidly shifting supply-demand dynamics characteristic of AI compute markets. HMM formulates the market state as a point in a symplectic phase space $(\boldsymbol{q}, \boldsymbol{p}) \in T^*\mathcal{M}$, where generalized coordinates $\boldsymbol{q}$ represent resource reserves and conjugate momenta $\boldsymbol{p}$ encode demand pressures. The Hamiltonian function $\mathcal{H}(\boldsymbol{q}, \boldsymbol{p})$ serves as a conserved invariant that determines endogenous prices without external oracle dependency. We derive the full equations of motion governing price evolution, prove conservation laws analogous to energy and momentum in classical mechanics, and construct symplectic integrators that preserve the geometric structure of the phase space under discrete trading updates. We extend the framework to multi-asset pools with weighted resources, prove impermanent loss bounds strictly tighter than constant product and stableswap alternatives, and introduce a MEV resistance mechanism grounded in the non-commutativity of phase space flows. Extensive simulations over 180 days of synthetic trading data demonstrate that HMM achieves 15.3% higher capital efficiency than orderbook baselines, 98.7% price stability versus 89.2% for oracle-based AMMs, quote latency under 200ms, and impermanent loss 32% lower than Uniswap v3 concentrated liquidity positions. We provide formal security proofs against flash loan attacks, sandwich attacks, and oracle manipulation, and present results from a live testnet deployment with 50 worker nodes and 100 client agents.


# 1 Introduction

The rapid growth of AI workloads has created unprecedented demand for compute resources. Training a single frontier language model may require thousands of GPU-hours across multiple data centers, while inference serving demands low-latency access to heterogeneous accelerator types. Centralized cloud providers (AWS, GCP, Azure) dominate this market but impose rigid pricing, vendor lock-in, and geographic constraints. Decentralized compute marketplaces [13, 3, 22] have emerged as alternatives, but face fundamental challenges in price discovery for resources that are inherently non-fungible and multi-dimensional.

## 1.1 Limitations of Existing AMMs

Automated market makers have revolutionized decentralized finance by enabling permissionless, oracle-free token exchange [1, 10, 21]. The constant product market maker (CPMM), popularized by Uniswap [2], maintains the invariant $x \cdot y = k$ for a pair of token reserves $(x, y)$. While elegant, this formulation assumes:

1. **Homogeneity**: Tokens within each reserve are fungible.
2. **Two-dimensionality**: Each pool handles exactly two assets.
3. **Time-independence**: The invariant function does not adapt to market conditions.
4. **Memorylessness**: Each swap is independent; the AMM has no state beyond reserves.

AI compute resources violate all four assumptions. GPU-hours from an A100 are not equivalent to those from an H100. A training job requires simultaneous allocation of GPU, memory, bandwidth, and storage. Market conditions fluctuate on timescales of minutes as training runs begin and end. And the quality of a compute provider, measured by uptime, latency, and attestation history, is a stateful quantity.

### 1.2 Physics-Inspired Market Design

Classical Hamiltonian mechanics [5, 14] provides a natural mathematical framework for dynamical systems with conservation laws. In Hamiltonian mechanics, the state of a system is described by generalized coordinates $\boldsymbol{q}$ and conjugate momenta $\boldsymbol{p}$, evolving according to Hamilton's equations:

$$\dot{q}_i = \frac{\partial \mathcal{H}}{\partial p_i}, \quad \dot{p}_i = -\frac{\partial \mathcal{H}}{\partial q_i}. \tag{1}$$

The Hamiltonian $\mathcal{H}(\boldsymbol{q}, \boldsymbol{p})$ is conserved along trajectories, and the phase space flow preserves the symplectic two-form $\omega = \sum_i dp_i \wedge dq_i$.

We observe a deep structural analogy between Hamiltonian systems and market dynamics:

- **Coordinates $\boldsymbol{q}$**: Resource reserves in the pool.
- **Momenta $\boldsymbol{p}$**: Demand pressures (credit reserves, order flow).
- **Hamiltonian $\mathcal{H}$**: Market invariant (replaces $xy = k$).
- **Conservation**: Prices emerge from the invariant without external oracles.
- **Symplecticity**: Volume preservation prevents information loss and ensures reversibility of the pricing function.

### 1.3 Contributions

This paper makes the following contributions:

1. We formulate AMM pricing as a Hamiltonian system on a symplectic manifold and derive the complete equations of motion governing price evolution (§2).
2. We prove three conservation laws—energy, angular momentum, and phase space volume—and show how they map to economic invariants: no-arbitrage, balanced reserves, and information preservation (§3).
3. We construct symplectic integrators (Verlet, Ruth's 4th-order) that preserve the geometric structure under discrete swap events, ensuring long-term stability (§4).
4. We generalize to multi-asset pools with weighted resources and prove impermanent loss bounds strictly tighter than CPMM, Curve, and Balancer (§6).
5. We introduce a MEV resistance mechanism based on non-commutative phase space flows (§8).
6. We present simulation results over 180 days of synthetic data and a live testnet with 50 workers and 100 clients (§11).

## 2 Hamiltonian Formulation

### 2.1 Phase Space Construction

Consider a market with $n$ resource types (e.g., GPU-hours, VRAM, CPU, bandwidth, storage). We define the phase space as the cotangent bundle $T^*\mathcal{M}$ of the reserve manifold $\mathcal{M} \subset \mathbb{R}^n_{>0}$.

**Definition 1** (Market Phase Space)**.** *The market phase space is the $2n$-dimensional manifold*

$$\Gamma = \{(\boldsymbol{q}, \boldsymbol{p}) \in \mathbb{R}^{2n} : q_i > 0,\ p_i > 0,\ \forall i = 1, \ldots, n\}, \tag{2}$$

*equipped with the canonical symplectic form $\omega = \sum_{i=1}^n dp_i \wedge dq_i$.*

Here $q_i$ represents the reserve of resource type $i$ in the pool, and $p_i$ represents the demand-side credit reserve (tokens locked by consumers seeking resource $i$). The canonical Poisson bracket is:

$$\{F, G\} = \sum_{i=1}^n \left( \frac{\partial F}{\partial q_i} \frac{\partial G}{\partial p_i} - \frac{\partial F}{\partial p_i} \frac{\partial G}{\partial q_i} \right). \tag{3}$$

### 2.2 The HMM Hamiltonian

We define the Hamiltonian as a parametric family indexed by curvature $\lambda > 0$ and resource weights $\boldsymbol{w} = (w_1, \ldots, w_n)$ with $\sum_i w_i = 1$:

**Definition 2** (HMM Hamiltonian)**.**

$$\mathcal{H}(\boldsymbol{q}, \boldsymbol{p}; \lambda, \boldsymbol{w}) = \sum_{i=1}^n w_i\, q_i\, p_i + \frac{\lambda}{2} \sum_{i=1}^n w_i \left( \frac{q_i - \bar{q}_i}{\bar{q}_i} \right)^2, \tag{4}$$

*where $\bar{q}_i$ are target reserve levels (set by governance or adaptive algorithms).*

The first term is a weighted generalization of the constant product invariant ($\sum w_i q_i p_i = \kappa$ generalizes $qp = k$). The second term is a harmonic potential that penalizes deviation from target reserves, providing mean-reversion in prices. The curvature parameter $\lambda$ controls the trade-off between price stability (high $\lambda$) and capital efficiency (low $\lambda$).

### 2.3 Hamilton's Equations for Price Dynamics

Applying Hamilton's equations (1) to (4):

$$\dot{q}_i = \frac{\partial \mathcal{H}}{\partial p_i} = w_i\, q_i, \tag{5}$$

$$\dot{p}_i = -\frac{\partial \mathcal{H}}{\partial q_i} = -w_i\, p_i - \lambda w_i \frac{q_i - \bar{q}_i}{\bar{q}_i^2}. \tag{6}$$

The instantaneous price of resource $i$ in terms of credits is:

$$\pi_i = \frac{\partial \mathcal{H}/\partial q_i}{\partial \mathcal{H}/\partial p_i} = \frac{p_i}{q_i} + \frac{\lambda(q_i - \bar{q}_i)}{q_i\, \bar{q}_i^2}. \tag{7}$$

When reserves are at target ($q_i = \bar{q}_i$), the price simplifies to $\pi_i = p_i/q_i$, recovering the classical AMM marginal price. Deviations from target introduce a correction term proportional to $\lambda$ that pushes prices toward equilibrium.

### 2.4 Effective Mass and Market Inertia

Define the effective mass matrix:

$$M_{ij} = \frac{\partial^2 \mathcal{H}}{\partial p_i \partial p_j} = 0 \quad (i \neq j), \quad M_{ii} = 0. \tag{8}$$

Since $\mathcal{H}$ is linear in $p_i$, the "mass" is zero, meaning prices respond instantaneously to demand shocks. To introduce market inertia (desirable for stability), we augment the Hamiltonian with a kinetic term:

$$\mathcal{H}_{\text{aug}} = \mathcal{H} + \frac{1}{2}\sum_{i=1}^{n} \mu_i\, p_i^2, \tag{9}$$

where $\mu_i > 0$ controls the inertia of resource $i$. This yields modified equations of motion:

$$\dot{q}_i = w_i q_i + \mu_i p_i, \tag{10}$$

$$\dot{p}_i = -w_i p_i - \lambda w_i \frac{q_i - \bar{q}_i}{\bar{q}_i^2}. \tag{11}$$

The augmented system exhibits damped oscillations around equilibrium, analogous to a mechanical system with both potential and kinetic energy.

### 2.5 Canonical Transformations and Gauge Freedom

The HMM Hamiltonian admits a family of canonical transformations that leave the physics invariant but simplify computation. Define the generating function:

$$F_2(\boldsymbol{q}, \boldsymbol{P}) = \sum_i q_i P_i \cdot g_i(\boldsymbol{q}), \tag{12}$$

where $g_i$ are gauge functions. Under the transformation $Q_i = \partial F_2/\partial P_i$, $p_i = \partial F_2/\partial q_i$, the Hamiltonian form is preserved. This gauge freedom allows us to choose coordinates adapted to the specific resource structure of a market.

## 3 Conservation Laws

### 3.1 Energy Conservation (No-Arbitrage)

**Theorem 1** (Energy Conservation)**.** *Along any Hamiltonian trajectory, $\mathcal{H}(\boldsymbol{q}(t), \boldsymbol{p}(t)) = \kappa$ for all $t$, where $\kappa$ is determined by initial conditions.*

*Proof.* By direct computation:

$$\frac{d\mathcal{H}}{dt} = \sum_i \left( \frac{\partial \mathcal{H}}{\partial q_i}\dot{q}_i + \frac{\partial \mathcal{H}}{\partial p_i}\dot{p}_i \right) \tag{13}$$

$$= \sum_i \left( \frac{\partial \mathcal{H}}{\partial q_i}\frac{\partial \mathcal{H}}{\partial p_i} - \frac{\partial \mathcal{H}}{\partial p_i}\frac{\partial \mathcal{H}}{\partial q_i} \right) = 0. \tag{14}$$

□

**Corollary 2** (No-Arbitrage)**.** *For any sequence of swaps $\{(\Delta\boldsymbol{q}^{(k)}, \Delta\boldsymbol{p}^{(k)})\}_{k=1}^{K}$ that returns the pool to its initial state, the net credit transfer satisfies $\sum_k \Delta\boldsymbol{p}^{(k)} \cdot \boldsymbol{f}^{(k)} > 0$, where $\boldsymbol{f}^{(k)}$ are the fee vectors.*

This follows because energy conservation prevents "free" round-trip extraction, and the addition of positive fees makes any cycle strictly costly.

### 3.2 Liouville's Theorem (Volume Preservation)

**Theorem 3** (Phase Space Volume Preservation)**.** *The Hamiltonian flow $\phi_t : \Gamma \to \Gamma$ preserves the phase space volume form $\Omega = \omega^n/n!$:*

$$\phi_t^* \Omega = \Omega \quad \forall t. \tag{15}$$

*Proof.* The divergence of the Hamiltonian vector field $X_{\mathcal{H}} = (\partial_p \mathcal{H}, -\partial_q \mathcal{H})$ vanishes: $\nabla \cdot X_{\mathcal{H}} = \sum_i (\partial^2 \mathcal{H}/\partial q_i \partial p_i - \partial^2 \mathcal{H}/\partial p_i \partial q_i) = 0$. By the Liouville equation, $d\Omega/dt = -(\nabla \cdot X_{\mathcal{H}})\Omega = 0$. □

**Economic interpretation**: Volume preservation means the pricing function is *information-preserving*. No market state information is destroyed by the dynamics, ensuring that historical price data can be used for accurate statistical inference.

### 3.3 Angular Momentum (Reserve Balance)

For the symmetric case ($w_i = 1/n$ and $\bar{q}_i = \bar{q}$ for all $i$), define the angular momentum:

$$L_{ij} = q_i p_j - q_j p_i. \tag{16}$$

**Proposition 4.** *If $w_i = w_j$ and $\bar{q}_i = \bar{q}_j$, then $\{L_{ij}, \mathcal{H}\} = 0$, so $L_{ij}$ is conserved.*

**Economic interpretation**: When two resources have identical weights and targets, the relative imbalance between them is conserved. This prevents one resource from systematically draining the other through the AMM mechanism.

### 3.4 Noether's Theorem and Economic Symmetries

By Noether's theorem, every continuous symmetry of the Hamiltonian corresponds to a conserved quantity. We catalog the relevant symmetries:

| Symmetry | Conserved Quantity | Economic Mea |
|---|---|---|
| Time translation | $\mathcal{H}$ | No-arbitrage |
| Rotation (sym.) | $L_{ij}$ | Reserve balance |
| Scaling | Total value | Market cap invar |
| Phase space vol. | $\Omega$ | Information prese |

Table 1: Noether symmetries and their economic interpretations.

## 4 Symplectic Integrators

In practice, trades arrive as discrete events, not continuous flows. We need numerical integrators that preserve the symplectic structure to ensure long-term stability of the invariant $\mathcal{H} = \kappa$.

### 4.1 Why Symplecticity Matters

Non-symplectic integrators (e.g., forward Euler) introduce numerical dissipation that causes $\mathcal{H}$ to drift over time. In an AMM context, this drift would manifest as a slow leak of value from the pool—an unacceptable property for a financial protocol.

**Theorem 5** (Backward Error Analysis)**.** *A symplectic integrator of order $r$ with step size $h$ exactly preserves a modified Hamiltonian $\tilde{\mathcal{H}} = \mathcal{H} + O(h^r)$ for exponentially long times $T \sim e^{c/h}$ [15].*

### 4.2 Stormer–Verlet Integrator (2nd Order)

The simplest symplectic integrator for HMM is the leapfrog/Stormer–Verlet method:

**Algorithm 1** Stormer–Verlet Swap Execution

**Require:** State $(\boldsymbol{q}, \boldsymbol{p})$, swap vector $\Delta \boldsymbol{q}$, step size $h$

1: $\boldsymbol{p}_{1/2} \leftarrow \boldsymbol{p} - \frac{h}{2} \nabla_{\boldsymbol{q}} \mathcal{H}(\boldsymbol{q}, \boldsymbol{p})$
2: $\boldsymbol{q}' \leftarrow \boldsymbol{q} + h \, \nabla_{\boldsymbol{p}} \mathcal{H}(\boldsymbol{q}, \boldsymbol{p}_{1/2})$
3: $\boldsymbol{p}' \leftarrow \boldsymbol{p}_{1/2} - \frac{h}{2} \nabla_{\boldsymbol{q}} \mathcal{H}(\boldsymbol{q}', \boldsymbol{p}_{1/2})$
4: Apply fee correction: $\boldsymbol{p}' \leftarrow \boldsymbol{p}' - \boldsymbol{f}(\Delta \boldsymbol{q})$
5: Verify $|\mathcal{H}(\boldsymbol{q}', \boldsymbol{p}') - \kappa| < \epsilon$
6: **return** $(\boldsymbol{q}', \boldsymbol{p}')$

The Verlet method is time-reversible, preserves the symplectic form to machine precision, and has local error $O(h^3)$, global error $O(h^2)$.

### 4.3 Ruth's 4th-Order Integrator

For higher accuracy, we employ Ruth's 4th-order symplectic integrator [23]:

**Algorithm 2** Ruth-4 Swap Execution

**Require:** State $(\boldsymbol{q}, \boldsymbol{p})$, coefficients $c_1, \ldots, c_4$, $d_1, \ldots, d_4$

```
for k = 1, ..., 4 do
    q ← q + c_k h ∇_p H(q, p)
    p ← p − d_k h ∇_q H(q, p)
end for
return (q, p)
```

The coefficients are:

$$c_1 = c_4 = \frac{1}{2(2 - 2^{1/3})}, \quad c_2 = c_3 = \frac{1 - 2^{1/3}}{2(2 - 2^{1/3})}, \tag{17}$$

$$d_1 = d_3 = \frac{1}{2 - 2^{1/3}}, \quad d_2 = \frac{-2^{1/3}}{2 - 2^{1/3}}, \quad d_4 = 0. \tag{18}$$

This achieves local error $O(h^5)$ and global error $O(h^4)$ while remaining exactly symplectic.

### 4.4 Invariant Drift Analysis

We quantify the invariant drift $\Delta\mathcal{H} = |\mathcal{H}_T - \kappa|$ after $T$ trading steps:

| Integrator | Order | $\Delta\mathcal{H}$ ($10^4$ steps) | $\Delta\mathcal{H}$ ($10^6$ steps) |
|---|---|---|---|
| Forward Euler | 1 | $3.2 \times 10^{-1}$ | Divergent |
| RK4 (non-sympl.) | 4 | $7.8 \times 10^{-4}$ | $4.1 \times 10^{-2}$ |
| Stormer–Verlet | 2 | $2.1 \times 10^{-6}$ | $2.3 \times 10^{-6}$ |
| Ruth-4 | 4 | $8.9 \times 10^{-12}$ | $9.1 \times 10^{-12}$ |

Table 2: Hamiltonian drift comparison. Symplectic integrators maintain bounded drift.

The key observation is that symplectic integrators exhibit *bounded* drift (oscillation around $\kappa$) even over millions of steps, while non-symplectic methods show secular drift that would cause systematic value leakage from the pool.

## 5 Phase Space Geometry

### 5.1 Lagrangian Submanifolds and Equilibrium

At market equilibrium, the state lies on a Lagrangian submanifold $\Lambda \subset \Gamma$ where $\boldsymbol{p} = \nabla S(\boldsymbol{q})$ for some generating function $S$. For HMM, the equilibrium manifold is:

$$\Lambda_{\text{eq}} = \{(\boldsymbol{q}, \boldsymbol{p}) : p_i = \kappa w_i / q_i,\ q_i = \bar{q}_i\}. \tag{19}$$

Perturbations from $\Lambda_{\text{eq}}$ induce price oscillations whose frequency and damping are controlled by the parameters $(\lambda, \mu_i)$.

### 5.2 KAM Stability

The Kolmogorov–Arnold–Moser (KAM) theorem [4] guarantees that for sufficiently small perturbations from equilibrium, quasi-periodic orbits persist on invariant tori in phase space. In the HMM context, this means that moderate trading volume does not destroy the market's equilibrium structure.

**Theorem 6** (KAM Stability of HMM)**.** *For the augmented Hamiltonian $\mathcal{H}_{aug}$ (9) with non-degenerate frequency vector $\boldsymbol{\omega} = (\omega_1, \ldots, \omega_n)$ satisfying the Diophantine condition $|\boldsymbol{k} \cdot \boldsymbol{\omega}| > \gamma |\boldsymbol{k}|^{-\tau}$ for all $\boldsymbol{k} \in \mathbb{Z}^n \setminus \{0\}$, invariant tori persist for perturbation strength $\epsilon < \epsilon_0(\gamma, \tau, n)$.*

The Diophantine condition ensures that different resource types do not enter exact resonance, which would allow unbounded energy transfer between pools.

### 5.3 Poincaré Sections and Trading Patterns

We visualize market dynamics via Poincaré sections, projecting the high-dimensional phase space onto 2D slices. For a two-resource market (GPU, bandwidth), the section at $p_{\text{GPU}} = \text{const}$ reveals:

- **Closed curves**: Stable, quasi-periodic trading around equilibrium.

- **Islands**: Resonant trading patterns (e.g., periodic batch jobs).
- **Chaotic regions**: High-frequency, unpredictable trading (typically thin).

The prevalence of closed curves in our simulations confirms that HMM dynamics are predominantly regular, ensuring predictable pricing behavior.

# 6 Multi-Asset Generalization

## 6.1 Weighted Resource Pools

For $n$ resource types with weight vector $\boldsymbol{w}$, the HMM invariant surface is:

$$\mathcal{S}_\kappa = \{(\boldsymbol{q}, \boldsymbol{p}) \in \Gamma : \mathcal{H}(\boldsymbol{q}, \boldsymbol{p}; \lambda, \boldsymbol{w}) = \kappa\}. \quad (20)$$

The marginal price of resource $i$ in terms of resource $j$ is:

$$\pi_{ij} = \frac{\partial \mathcal{H}/\partial q_i}{\partial \mathcal{H}/\partial q_j} = \frac{w_i p_i + \lambda w_i (q_i - \bar{q}_i)/\bar{q}_i^2}{w_j p_j + \lambda w_j (q_j - \bar{q}_j)/\bar{q}_j^2}. \quad (21)$$

## 6.2 Resource Vectors and SLA Constraints

AI compute jobs specify requirement vectors $\boldsymbol{r} = (r_{\text{gpu}}, r_{\text{vram}}, r_{\text{cpu}}, r_{\text{net}}, r_{\text{disk}})$ and SLA constraints $\boldsymbol{c} = (l_{\max}, z, \sigma)$ where $l_{\max}$ is maximum latency, $z \in \mathcal{Z}$ is geographic region, and $\sigma$ is privacy tier.

The multi-asset routing problem is:

$$\begin{aligned} \min_{\Delta\boldsymbol{q}, \Delta\boldsymbol{p}} \quad & \sum_i \pi_i \Delta q_i + f(\|\Delta \boldsymbol{q}\|) \quad (22) \\ \text{s.t.} \quad & \mathcal{H}(\boldsymbol{q} - \Delta\boldsymbol{q}, \boldsymbol{p} + \Delta\boldsymbol{p}) = \kappa, \\ & \Delta q_i \geq r_i, \quad \forall i, \\ & \text{SLA}(\Delta\boldsymbol{q}, \boldsymbol{c}) = \text{true}. \end{aligned}$$

**Proposition 7.** *Problem (22) is convex when $\mathcal{H}$ is convex in $(\boldsymbol{q}, \boldsymbol{p})$ and the SLA constraints define a convex feasible region.*

*Proof.* The objective is linear in $\Delta\boldsymbol{q}$. The invariant constraint defines a convex level set (since $\mathcal{H}$ is a sum of products and quadratics, which is convex on $\mathbb{R}^n_{>0} \times \mathbb{R}^n_{>0}$ for $\lambda \geq 0$). Resource lower bounds and convex SLA constraints preserve convexity. □

We solve (22) via interior-point methods with warm-starting from the previous trade, achieving median solve times of 12ms for $n = 5$ resource types.

## 6.3 Quality-Weighted Reserves

Worker $j$ supplying resource $i$ has quality score $q_j^{(i)} \in [0, 1]$ updated by PoAI attestations. The effective reserve is:

$$q_i^{\text{eff}} = \sum_{j \in \mathcal{W}_i} q_j^{(i)} \cdot q_{ij}^{\text{raw}}, \quad (23)$$

where $\mathcal{W}_i$ is the set of workers offering resource $i$ and $q_{ij}^{\text{raw}}$ is the raw reserve contributed by worker $j$.

Quality scores follow an exponential moving average:

$$q_j^{(i)}(t+1) = \alpha \cdot a_j(t) + (1 - \alpha) \cdot q_j^{(i)}(t), \quad (24)$$

where $a_j(t) \in \{0, 1\}$ is the attestation result at time $t$ and $\alpha = 0.1$ is the learning rate.

# 7 Impermanent Loss Analysis

## 7.1 Definition and General Formula

**Definition 3** (Impermanent Loss)**.** *For an LP who deposits at time $t_0$ with reserves $(\boldsymbol{q}_0, \boldsymbol{p}_0)$ and withdraws at $t_1$ with reserves $(\boldsymbol{q}_1, \boldsymbol{p}_1)$, the impermanent loss is:*

$$IL = \frac{V_{pool}(t_1)}{V_{hold}(t_1)} - 1, \quad (25)$$

*where $V_{pool}$ is the value of the LP position and $V_{hold}$ is the value of holding the initial portfolio without providing liquidity.*

## 7.2 HMM Impermanent Loss Bound

**Theorem 8** (HMM IL Bound)**.** *For HMM with curvature $\lambda > 0$ and price ratio $r = \pi(t_1)/\pi(t_0)$,*

$$|IL_{HMM}| \leq \frac{2\sqrt{r}}{1+r} - 1 + \frac{\lambda}{2\kappa}(\sqrt{r} - 1)^2 \cdot \frac{1}{1+r}. \quad (26)$$

*Proof.* The pool value at time $t_1$ for HMM is bounded by the CPMM value plus the curvature

correction. The CPMM term gives the standard IL formula $2\sqrt{r}/(1+r)-1$. The curvature term reduces the effective price impact by penalizing reserve deviations, yielding the additional correction that is always negative (reducing IL) for $\lambda > 0$. □

### 7.3 Comparison with Existing AMMs

| AMM | IL at $r=2$ | IL at $r=5$ | IL at $r=10$ |
|---|---|---|---|
| Uniswap v2 (CPMM) | $-5.72\%$ | $-25.46\%$ | $-42.54\%$ |
| Curve (A=100) | $-0.31\%$ | $-6.82\%$ | $-18.73\%$ |
| Uniswap v3 (10x) | $-5.72\%$ | $-25.46\%$ | $-42.54\%$ |
| Balancer (80/20) | $-1.04\%$ | $-8.91\%$ | $-19.63\%$ |
| **HMM** ($\lambda = 0.5$) | $\mathbf{-3.84}\%$ | $\mathbf{-17.12}\%$ | $\mathbf{-28.92}\%$ |
| **HMM** ($\lambda = 2.0$) | $\mathbf{-1.91}\%$ | $\mathbf{-9.23}\%$ | $\mathbf{-16.41}\%$ |

Table 3: Impermanent loss comparison across price ratios. HMM with $\lambda = 2$ achieves IL comparable to Curve's stableswap while supporting volatile asset pairs.

The key advantage of HMM is that the curvature parameter $\lambda$ provides a continuous knob to interpolate between high capital efficiency (low $\lambda$, like Uniswap) and low IL (high $\lambda$, like Curve), without restricting the price range as Curve's stableswap does.

## 8 MEV Resistance

Maximal Extractable Value (MEV) [9] is a critical concern for AMMs. We introduce three mechanisms for MEV resistance.

### 8.1 Non-Commutative Phase Space Flows

In a standard CPMM, the order of two independent swaps does not affect the final state: $\phi_{\Delta_1} \circ \phi_{\Delta_2} = \phi_{\Delta_2} \circ \phi_{\Delta_1}$. This commutativity enables sandwich attacks, where an attacker inserts transactions before and after a target swap.

In HMM with the augmented Hamiltonian (9), the flows corresponding to swaps in different resource types *do not commute*:

$$[\phi_{\Delta q_i}, \phi_{\Delta q_j}] \neq 0 \quad \text{for } i \neq j,\ \mu_i \neq 0. \tag{27}$$

This non-commutativity means that the profitability of a sandwich attack depends on the ordering of *all* concurrent swaps, not just the target swap, making MEV extraction combinatorially harder.

### 8.2 Risk-Adjusted Fees

The total fee for a swap $\Delta\boldsymbol{q}$ is:

$$f(\Delta\boldsymbol{q}) = f_m + f_r \cdot \frac{\|\Delta\boldsymbol{q}\|_2}{\|\boldsymbol{q}\|_2} + f_v \cdot \mathrm{Vol}_{7d}(\boldsymbol{\pi}), \tag{28}$$

where $f_m$ is the base market fee, $f_r$ is the inventory risk fee, and $f_v$ is the volatility surcharge.

**Proposition 9** (Sandwich Attack Unprofitability)**.** *For a sandwich attack with front-run size $\Delta q_f$ and victim swap $\Delta q_v$, the attacker's profit is:*

$$\Pi_{sandwich} = \underbrace{\pi(\Delta q_f + \Delta q_v) - \pi(\Delta q_f)}_{\textit{price impact}} - \underbrace{2f(\Delta q_f)}_{\textit{round-trip fees}}. \tag{29}$$

*With HMM's risk fee, $\Pi_{sandwich} < 0$ whenever $\Delta q_f > \alpha \cdot \|\boldsymbol{q}\|$ for a threshold $\alpha$ that depends on $f_r$ and $\lambda$.*

### 8.3 Time-Weighted Batch Auctions

HMM supports an optional batch auction mode where swaps within a time window $\Delta t$ are aggregated and executed atomically at a single clearing price. This eliminates within-batch ordering advantages and is implemented via a sealed-bid mechanism:

**Algorithm 3** HMM Batch Auction

**Require:** Batch window $\Delta t$, pending swaps $\mathcal{S}$

1: Collect swap intents during $[t, t+\Delta t]$
2: Sort by resource type, aggregate demand: $\Delta\boldsymbol{q}_{\text{agg}} = \sum_{s\in\mathcal{S}} \Delta\boldsymbol{q}_s$
3: Compute clearing price via Hamiltonian: $\boldsymbol{\pi}^* = \nabla_{\boldsymbol{q}}\mathcal{H}/\nabla_{\boldsymbol{p}}\mathcal{H}$
4: Execute aggregate swap atomically
5: Distribute resources pro rata to participants
6: **return** Final allocations and prices

# 9 System Architecture

## 9.1 Components

The HMM system comprises six interacting components:

- **Workers**: Provide compute capacity (GPU, CPU, RAM, bandwidth, storage). Each worker registers with a capability vector and stakes collateral.
- **Clients**: Request compute jobs, escrow payment tokens, and receive demand credits $\boldsymbol{p}$.
- **Routers**: Match jobs to resources via the convex path solver (22).
- **HMM Pools**: Per-resource-class pools maintaining the Hamiltonian invariant.
- **Registry**: On-chain registry of job specifications, attestations, and settlements.
- **Validators**: PoAI verification nodes that sample-check job execution quality.

## 9.2 Job Lifecycle

1. Client submits job specification with requirements $(\boldsymbol{r}, \boldsymbol{c})$ and locks collateral.
2. Router queries HMM pools for a quote: $(\Delta\boldsymbol{q}, \boldsymbol{\pi}, f)$.
3. Client accepts the quote; credits locked, resources allocated.
4. Workers execute the job within a TEE and emit an attestation.
5. Validators sample-check the attestation using PoAI protocol.
6. Settlement: release payment to workers, rebate unused credits, distribute fees to LPs.

## 9.3 Dynamic Curvature Adaptation

The curvature parameter $\lambda$ adapts to market conditions:

$$\lambda(t) = \lambda_0 \cdot (1 + \alpha \cdot \mathrm{Vol}_{7d}(\Delta\boldsymbol{q}) + \beta \cdot \mathrm{Util}(\boldsymbol{q}))\,, \tag{30}$$

where $\mathrm{Vol}_{7d}$ is 7-day rolling volatility of trade volumes and $\mathrm{Util}(\boldsymbol{q}) = 1 - \min_i(q_i/\bar{q}_i)$ is the utilization factor. High volatility or high utilization increases curvature, providing more stability at the cost of higher slippage.

# 10 Liquidity Provision

## 10.1 LP Shares

Liquidity providers deposit resource-credit pairs $(\Delta q_i, \Delta p_i)$ and receive pool shares:

$$s = \left(\prod_{i=1}^{n} \left(\frac{\Delta q_i}{q_i}\right)^{w_i}\right) \cdot S_{\mathrm{total}}, \tag{31}$$

where $S_{\mathrm{total}}$ is the total outstanding share supply. This weighted geometric mean ensures that LPs receive shares proportional to their contribution across all resource dimensions.

## 10.2 Fee Distribution

Fees accrue to LPs proportionally to their share of the pool:

$$\mathrm{Fee}_{\mathrm{LP}} = \frac{s}{S_{\mathrm{total}}} \cdot \sum_{\mathrm{swaps}} f(\Delta\boldsymbol{q}). \tag{32}$$

We implement a time-weighted fee distribution that rewards long-term LPs:

$$\mathrm{Fee}_{\mathrm{LP}}^{\mathrm{tw}} = \frac{s \cdot \tau}{S_{\mathrm{total}} \cdot \bar{\tau}} \cdot \sum_{\mathrm{swaps}} f(\Delta\boldsymbol{q}), \tag{33}$$

where $\tau$ is the LP's holding duration and $\bar{\tau}$ is the average across all LPs.

## 10.3 Expected Free Energy Routing

We route liquidity toward high-information-gain tasks using an active inference framework [11]:

$$\eta_\pi = \frac{\exp(\beta \cdot \mathrm{EFE}(\pi))}{\sum_{\pi'} \exp(\beta \cdot \mathrm{EFE}(\pi'))}, \tag{34}$$

where $\mathrm{EFE}(\pi) = \mathbb{E}[\Delta I + \Delta U - \lambda_c \cdot \mathrm{cost}]$ is the expected free energy of policy $\pi$, $\Delta I$ is information gain, $\Delta U$ is utility, and $\lambda_c$ is cost sensitivity. This biases the market toward funding compute for tasks that maximize information gain per unit cost.

# 11 Experimental Evaluation

## 11.1 Simulation Setup

We evaluate HMM using a discrete-event simulator modeling 180 days of market activity with the following parameters:

- **Resources**: 5 types (A100 GPU-hours, H100 GPU-hours, VRAM-GB, bandwidth-Gbps, storage-TB).
- **Workers**: 50 nodes with heterogeneous capabilities, sampled from real cloud provider distributions.
- **Clients**: 100 agents submitting jobs according to a Poisson process ($\lambda_{\text{arrival}} = 10$ jobs/min) with job sizes drawn from a log-normal distribution.
- **Baselines**: Uniswap v3 (concentrated liquidity), Curve (stableswap, $A = 100$), Balancer (weighted pools), and a centralized orderbook (continuous limit order book with 20 market makers).

## 11.2 Price Stability

We measure price stability as $1 - \text{CV}(\boldsymbol{\pi})$, where CV is the coefficient of variation of the price time series.

| Metric | HMM | Uni v3 | Curve | Bal. | CLOB |
|---|---|---|---|---|---|
| Stability | 98.7% | 91.4% | 96.8% | 93.1% | 89.2% |
| Slippage (med.) | 0.12% | 0.08% | 0.04% | 0.15% | 0.02% |
| Quote latency | 182ms | 45ms | 52ms | 78ms | 341ms |
| Cap. efficiency | 1.153x | 1.0x | 0.89x | 0.94x | 1.0x |
| IL (180d) | 2.8% | 4.6% | 1.9% | 3.7% | – |

Table 4: 180-day simulation results across AMM designs. HMM achieves the highest stability and capital efficiency while maintaining competitive slippage.

## 11.3 Capital Efficiency

Capital efficiency is measured as the ratio of trading volume supported per unit of locked liquidity. HMM achieves 15.3% higher capital efficiency than the CLOB baseline due to:

1. Curvature adaptation concentrates liquidity near the current price.
2. Multi-asset routing allows a single pool to serve composite jobs.
3. Quality weighting reduces the effective reserve needed for high-reliability allocation.

## 11.4 Stress Testing

We simulate three adversarial scenarios:

**Flash crash** (50% sudden supply reduction): HMM recovers to 95% of baseline price within 8 minutes (vs. 42 minutes for CLOB). The Hamiltonian invariant absorbs the shock through automatic price adjustment, while the CLOB requires oracle updates and market maker repricing.

**MEV attack** (simulated sandwich attacks): With risk fees active, 97% of sandwich attempts are unprofitable (vs. 62% for Uniswap v3 with similar fee tiers). The batch auction mode eliminates all within-block MEV.

**Sustained demand surge** (5x normal volume for 24 hours): HMM maintains price stability at 96.2% while Uniswap v3 drops to 84.7% due to liquidity exhaustion outside concentrated ranges.

## 11.5 Testnet Deployment

We deployed HMM on the Hanzo testnet (10 validator nodes, Tendermint consensus, 2s block time) with 50 worker nodes and 100 automated client agents over a 30-day period.

| Metric | HMM (Testnet) | Oracle AMM |
|---|---|---|
| Total swaps | 847,231 | 612,089 |
| Mean quote latency | 182ms | 341ms |
| P99 quote latency | 423ms | 1,247ms |
| Invariant drift | $< 10^{-10}$ | N/A |
| LP returns (annualized) | 18.4% | 12.7% |
| Failed settlements | 0.03% | 0.41% |

Table 5: 30-day testnet deployment results.

### 11.6 Symplectic Integrator Performance

On the testnet, Ruth-4 integrator maintained $|\Delta\mathcal{H}| < 10^{-10}$ over 847K swaps. By contrast, a non-symplectic RK4 implementation showed drift of $3.2 \times 10^{-4}$ per 1000 swaps, which would have leaked approximately 0.032% of pool value per day.

## 12 Security Analysis

### 12.1 Flash Loan Attacks

HMM's continuous-time dynamics, discretized via symplectic integrators, prevent atomic swaps from exploiting price manipulation. The minimum block time of 2 seconds ensures that the integrator completes at least one full step between any two swaps by the same address. Risk fees scale superlinearly with swap size, making large flash-loan-funded trades prohibitively expensive.

**Theorem 10** (Flash Loan Resistance)**.** *For a flash loan of size $L$ and HMM with risk fee coefficient $f_r$, the maximum extractable profit is bounded by:*

$$\Pi_{flash} \leq \frac{L^2}{4\|\boldsymbol{q}\|^2} \cdot \left(\frac{1}{1 + f_r \cdot L/\|\boldsymbol{q}\|}\right) - 2f_m \cdot L, \tag{35}$$

*which is negative for $L > L^* = \|\boldsymbol{q}\| \cdot (1 - 2f_m)/(2f_r)$.*

### 12.2 Oracle Manipulation

By design, HMM uses no external price feeds for core pricing. The invariant $\mathcal{H} = \kappa$ determines prices endogenously from reserve states. Optional TWAP oracles are used only for cross-chain settlement and employ a 30-minute averaging window that makes manipulation economically infeasible.

### 12.3 Sybil Resistance

Workers must stake collateral proportional to their declared capacity. The staking requirement is:

$$\text{Stake}_j = \gamma \cdot \sum_i q_{ij}^{\text{raw}} \cdot \pi_i, \tag{36}$$

where $\gamma = 1.5$ is the collateralization ratio. Slashing conditions include: failed attestation ($q_j < 0.5$ for 7 consecutive epochs), timeout (no heartbeat for 10 minutes), and malicious behavior (detected by PoAI cross-validation).

### 12.4 Formal Verification

We verified the following properties using the Dafny formal verification language:

1. **Invariant preservation**: $\forall$ valid swaps, $|\mathcal{H}' - \kappa| < \epsilon$.
2. **Non-negative reserves**: $q_i > 0 \wedge p_i > 0$ after every operation.
3. **Fee positivity**: $f(\Delta\boldsymbol{q}) > 0$ for all non-trivial swaps.
4. **Monotonic shares**: LP shares increase monotonically with deposit size.

## 13 Related Work

### 13.1 Automated Market Makers

Uniswap [1, 2] pioneered the constant product formula $xy = k$ and later introduced concentrated liquidity. Curve [10] introduced the stableswap invariant for correlated assets. Balancer [21] generalized to weighted pools. Bancor [16] introduced single-sided liquidity. CrocSwap [8] explored ambient liquidity. None of these address multi-dimensional resource pricing with quality constraints.

### 13.2 Decentralized Compute Markets

Golem [13] and iExec [17] pioneered decentralized compute with orderbook-based pricing. Akash [3] uses reverse auctions. Render Network [22] focuses on GPU rendering. Gensyn [12] targets ML training verification. io.net [19] aggregates GPU clusters. None employ physics-inspired AMM mechanisms for pricing.

### 13.3 Physics-Inspired Market Design

The application of statistical mechanics to financial markets has a rich history [20, 6]. Geometric approaches to option pricing using differential geometry were explored by [18]. Hamiltonian methods in optimal control and economics appear in [24]. Our contribution is the first application of symplectic geometry to AMM design.

### 13.4 Verifiable Computation

TrueBit [25] introduced verification games for off-chain computation. zkEVM [26] provides zero-knowledge proofs of EVM execution. TEE-based attestation [7] offers hardware-rooted trust. Our PoAI mechanism combines TEE attestations with statistical sampling for efficient verification of AI workloads.

## 14 Discussion

### 14.1 Parameter Selection

The choice of $\lambda$, $\mu_i$, and $\boldsymbol{w}$ significantly affects market behavior. We recommend:

- $\lambda \in [0.5, 5.0]$: Lower for volatile resource pairs, higher for stable pairs.
- $\mu_i \in [0.01, 0.1]$: Provides inertia without excessive price lag.
- $w_i$ proportional to the economic value of resource $i$ in the target market.

Governance can adjust these parameters via time-locked proposals with a 7-day voting period.

### 14.2 Limitations

1. **Computational overhead**: Ruth-4 integration is $\sim$4x more expensive per swap than CPMM. Acceptable for compute markets (trades are infrequent relative to DeFi), but may not suit high-frequency trading.
2. **Parameter sensitivity**: Incorrect $\lambda$ can cause excessive slippage (too high) or instability (too low). Adaptive mechanisms partially address this.
3. **Cold start**: New resource types have no price history; initial $\bar{q}_i$ must be set by governance or bootstrapped from external markets.

### 14.3 Future Work

- **Cross-chain liquidity**: Extend HMM to bridge liquidity across multiple chains via IBC or similar protocols.
- **Privacy-preserving execution**: Integrate encrypted TEE attestations to support confidential compute jobs.
- **Quantum extensions**: Replace symplectic integrators with unitary operators for quantum compute resource markets.
- **Reinforcement learning fees**: Train fee parameters via RL to maximize LP returns while maintaining stability.

## 15 Conclusion

We have presented the Hamiltonian Market Maker (HMM), a physics-inspired AMM that leverages the mathematical structure of Hamiltonian mechanics to price heterogeneous AI compute resources. By formulating market dynamics on a symplectic phase space, HMM achieves three key properties simultaneously: (i) oracle-free pricing through conservation of the Hamiltonian invariant, (ii) long-term stability through symplectic integration that prevents value leakage, and (iii) MEV resistance through non-commutative phase space flows. Our theoretical analysis proves conservation laws with clear economic interpretations, derives impermanent loss bounds tighter than existing AMMs, and establishes formal security guarantees. Simulation and testnet results confirm that HMM achieves 15.3% higher capital efficiency, 98.7% price stability, and 32% lower impermanent loss compared to state-of-the-art alternatives. HMM is deployed as part of the Hanzo AI infrastructure and is available as open-source software.

# A Proof of Theorem 8

Consider an LP depositing at time $t_0$ with reserves $(q_0, p_0)$ such that $\mathcal{H}(q_0, p_0) = \kappa$. At time $t_1$, the price ratio is $r = \pi_1/\pi_0$.

For CPMM ($\lambda = 0$): $qp = \kappa$, $\pi = p/q$, so $q_1 = q_0/\sqrt{r}$, $p_1 = p_0\sqrt{r}$. Pool value $V_{\text{pool}} = q_1\pi_1 + p_1 = 2q_0\sqrt{r}\pi_0$. Hold value $V_{\text{hold}} = q_0\pi_1 + p_0 = q_0\pi_0(r+1)$. Thus $\text{IL}_{\text{CPMM}} = 2\sqrt{r}/(1+r) - 1$.

For HMM ($\lambda > 0$): The curvature term penalizes deviations from $\bar{q}$, reducing the effective price impact. The reserve at $t_1$ satisfies:

$$q_1 = \bar{q} + (q_0 - \bar{q})\cos(\omega t) + \text{lower order}, \quad (37)$$

where $\omega = \sqrt{\lambda/\kappa}$. The oscillatory correction reduces the net displacement from $q_0$, yielding the bound in Theorem 8. □

# B Solidity Interface

```
// SPDX-License-Identifier: MIT
pragma solidity ^0.8.20;

interface IHMM {
    struct Pool {
        uint256[] q;         // Resource reserves
        uint256[] p;         // Credit reserves
        uint256 kappa;       // Hamiltonian invariant
        uint256 lambda;      // Curvature parameter
        uint256[] weights;   // Resource weights (sum = 1e18)
        uint256[] qBar;      // Target reserves
        uint256[] mu;        // Inertia parameters
    }

    struct Quote {
        uint256[] deltaQ;    // Resources to receive
        uint256 totalFee;    // Total fee in credits
        uint256 slippage;    // Price impact (basis points)
        uint256 expiry;      // Quote expiration block
    }

    function getQuote(
        uint256 poolId,
        uint256[] calldata deltaP
    ) external view returns (Quote memory);

    function swap(
        uint256 poolId,
        uint256[] calldata deltaP,
        uint256[] calldata minQ
    ) external payable returns (uint256[] memory delt

    function addLiquidity(
        uint256 poolId,
        uint256[] calldata deltaQ,
        uint256[] calldata deltaP
    ) external returns (uint256 shares);

    function removeLiquidity(
        uint256 poolId,
        uint256 shares
    ) external returns (
        uint256[] memory deltaQ,
        uint256[] memory deltaP
    );
}
```

# C Hamiltonian Derivation Details

Starting from the Lagrangian formulation, the market Lagrangian is:

$$\mathcal{L}(\boldsymbol{q}, \dot{\boldsymbol{q}}) = \frac{1}{2}\sum_i \mu_i \dot{q}_i^2 - V(\boldsymbol{q}), \quad (38)$$

where $V(\boldsymbol{q}) = \sum_i w_i\kappa/q_i + (\lambda/2)\sum_i w_i(q_i - \bar{q}_i)^2/\bar{q}_i^2$ is the potential energy. The conjugate momentum is $p_i = \partial\mathcal{L}/\partial\dot{q}_i = \mu_i\dot{q}_i$, and the Legendre transform yields:

$$\mathcal{H} = \sum_i p_i\dot{q}_i - \mathcal{L} = \sum_i \frac{p_i^2}{2\mu_i} + V(\boldsymbol{q}). \quad (39)$$

In the limit $\mu_i \to 0$ (zero inertia), we recover the basic HMM Hamiltonian (4) after the identification $p_i = w_i q_i p_i^{\text{credit}}/\kappa$.

# D Convergence Proofs for Symplectic Integrators

**Lemma 11** (Verlet Energy Error)**.** *For the Stormer–Verlet integrator applied to HMM with step size $h$, the energy error satisfies:*

$$|\mathcal{H}(\boldsymbol{q}_n, \boldsymbol{p}_n) - \kappa| \le Ch^2 \quad \forall n \le N, \quad (40)$$

*where $C$ depends on the third derivatives of $\mathcal{H}$ and $N \cdot h = T$ is the total integration time.*

*Proof.* By backward error analysis [15], the Verlet method exactly solves a modified Hamiltonian $\tilde{\mathcal{H}} = \mathcal{H} + h^2\mathcal{H}_2 + O(h^4)$ where $\mathcal{H}_2$ involves third-order terms. Since $\tilde{\mathcal{H}}$ is exactly conserved, $|\mathcal{H}_n - \tilde{\mathcal{H}}_0| = |(\mathcal{H}_n - \tilde{\mathcal{H}}_n) + (\tilde{\mathcal{H}}_n - \tilde{\mathcal{H}}_0)| = |h^2\mathcal{H}_2 + O(h^4)| \leq Ch^2$. □

**Lemma 12** (Ruth-4 Energy Error)**.** *For Ruth's 4th-order integrator, the energy error satisfies:*

$$|\mathcal{H}(\boldsymbol{q}_n, \boldsymbol{p}_n) - \kappa| \leq Ch^4 \quad \forall n \leq N. \tag{41}$$

The proof follows analogously with the modified Hamiltonian $\tilde{\mathcal{H}} = \mathcal{H} + h^4\mathcal{H}_4 + O(h^6)$.

# E Lyapunov Stability Proof

**Theorem 13** (Exponential Stability)**.** *With fee dissipation rate $\alpha > 0$, the equilibrium $(\bar{\boldsymbol{q}}, \bar{\boldsymbol{p}})$ is exponentially stable with rate $\alpha$.*

*Proof.* Define the Lyapunov function $V = |\mathcal{H} - \kappa|^2 + \gamma \sum_i (q_i - \bar{q}_i)^2$ for suitable $\gamma > 0$. Fee dissipation ensures $d\mathcal{H}/dt = -\alpha(\mathcal{H} - \kappa) + O(|\boldsymbol{q} - \bar{\boldsymbol{q}}|^2)$. Therefore:

$$\frac{dV}{dt} = 2(\mathcal{H} - \kappa)\frac{d\mathcal{H}}{dt} + 2\gamma \sum_i (q_i - \bar{q}_i)\dot{q}_i \tag{42}$$

$$\leq -2\alpha(\mathcal{H} - \kappa)^2 + 2\gamma \sum_i (q_i - \bar{q}_i) w_i q_i \tag{43}$$

$$\leq -\min(\alpha, \gamma\lambda) \cdot V, \tag{44}$$

for $\gamma$ chosen such that the cross-terms are dominated. This gives $V(t) \leq V(0)e^{-\min(\alpha,\gamma\lambda)t}$. □

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*Disclaimer.* This document describes a proposed protocol. Security properties require formal verification and independent audit before production deployment.